

		Status Conference re: Appeal Status Conference is off calendar
8	Soule vs. Ascensus LLC 2025-01535494	Motion to Strike Portions of the FAC Defendant Ascensus LLC's motion to strike portions of plaintiff Luke Soule's first amended complaint ("FAC") is denied in part and granted in part. The motion is denied as to punitive damages; it is granted with 21 days leave to amend as to injunctive relief. Defendant's request for judicial notice is granted as to the existence of the Individual 401(k) Trust Agreement (the "Trust Agreement") between Plaintiff's employer and Vanguard Fiduciary Trust Company that is alleged in the FAC. To the extent Plaintiff's declaration in support to fits opposition set forth facts outside of the FAC, the court did not consider it. Plaintiff's FAC Plaintiff alleges that his 401k account was transferred by Vanguard to Defendant, rather than E*TRADE as Plaintiff directed, without Plaintiff's authorization and then, when Plaintiff sought to have his account moved to E*TRADE, Defendant improperly liquidated mutual funds in his 401K account before transferring rather than transferring in kind assets. Defendant did this in accordance with its own policies, in order to make money, and despite (i) Plaintiff's repeated communication seeking in kind transfer and (ii) lacking authority to sell Plaintiff's mutual shares. [FAC, ¶¶ 17-27, 30, 31, 32-37.] As a result of this liquidation and delay in availability of funds, Plaintiff suffered loss because by the time the money was available to him Plaintiff could repurchase fewer shares of the same mutual funds than Plaintiff held immediately prior to the liquidation. This share shortfall resulted because the funds' net asset values increased during the period Plaintiff was involuntarily out of the market. [FAC, ¶¶ 28-29.] Based on these allegations, Plaintiff asserts causes of action for: (1) conversion; (2) negligence; (3) unfair business practices (violation of B&P Code §17200); and (4) money had and received.

In addition to compensatory damages, Plaintiff seeks punitive damages and injunctive relief. [FAC at 20-21 (prayer).]

Legal Standard

A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Code Civ. Proc. §436. “Irrelevant” matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not support by the allegations of the complaint. Code Civ. Proc. §431.10(b).

A motion to strike is limited to the face of the complaint, including matters that may be judicially noticed. Code Civ. Proc. §437(a).

Discussion

Punitive Damages

Civil Code section 3294 provides that punitive damages may be awarded in an action for breach of an obligation not arising from contract, if the plaintiff proves by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice. “Malice” means conduct that is intended to cause injury or despicable conduct that is carried on with a willful and conscious disregard of the right and safety of others. Civ. Code §3294(c)(1). “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. Civ. Code §3294(c)(2).

At the pleading stage, the complaint must allege facts supporting circumstances of oppression, fraud, or malice. *See Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166 (“The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. [Citation] Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim. [Citation].”). A corporate defendant may not be liable for punitive damages based on the acts of its employees unless the plaintiff alleges and proves that an officer, director or managing agent of the corporation: (1) was personally guilty of oppression, fraud or malice; or (2) had advance knowledge of, authorized, or ratified the wrongful conduct for which the damages are awarded. Civ. Code § 3294(b).

The same liberal policy regarding amendments that applies to the sustaining of demurrers applies for motions to strike. If a defect may be correctible, leave to amend should usually be given. *Grieves v. Superior Court*, 157 Cal.App.3d at 168.

In *Taylor v. Superior Court* (1979) 24 Cal. 3d 890, the California Supreme Court ruled that nonintentional torts may form the basis for punitive damages when the conduct constitutes a conscious disregard of the rights or safety of others. *Id.* at 896-96. The plaintiff must establish, however, that the defendant was aware of the probably dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences. *Id.* at 895-96.

In his FAC, Plaintiff alleges in meaningful detail his repeated communications with Defendant in an attempt to get an in-kind transfer and Defendant's representatives' actions, as alleged by Plaintiff, showing disregard for Plaintiff's requests and interests coupled with and awareness of what they were doing. [FAC, ¶¶21-35, 37.]

Plaintiff also alleges involvement and ratification by Defendant's managing agents. [FAC, ¶¶ 36, 39.]

Defendant makes two arguments in support of its motion to strike punitive damage allegations and prayers in Plaintiff's FAC. First, Defendant points to a limitation of damages provision in Plaintiff's employer's Trust Agreement with Vanguard. Second, Defendant argues that Plaintiff's claims are, at best, contract claims rather than tort claims so punitive damages are not available.

As to the Trust Agreement, on the face of the FAC (and the Trust Agreement) it is not necessarily so that Defendant may enforce provisions of the Trust Agreement against Plaintiff or that the limitation of liability would in any event be enforceable. *See* Civ. Code §1668 ("All contracts which have for their object, directly or indirectly, to exempt any one from responsibility for his own fraud, or willful injury to the person or property of another, or violation of law, whether willful or negligent, are against the policy of the law.")(footnote omitted).

As to the claims asserted, a plaintiff is the master of his complaint. Plaintiff has chosen to assert tort claims (negligence, conversion), a statutory claim, and a common count. He has not sued on any contract.

Moreover, the existence of a contractual relationship does not necessarily foreclose the possibility of tort liability.

While is true that the California Supreme Court has made clear contract law and tort law are separate and cannot be permitted to elide given their differences, it has also recognized that even where a

contract exists the violation of an independent duty gives rise to tort liability. *See Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 514–515; *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 992–993.

Defendant contends that Plaintiff's allegations ground his claims in the Trust Agreement.. [See FAC, ¶¶ 9, 12-15.]

It is true that Plaintiff alleges the terms of the Trust Agreement and Defendant's awareness of those terms. [*Id.*, ¶¶ 8-15.] But he does not roots his claims, or his allegations of Defendant's obligations, in that contract. Plaintiff does not allege that Defendant was Vanguard's successor-in-interest. Rather, Plaintiff alleges that *Defendant* "held itself out as a successor to Vanguard's trustee role upon receiving the transferred assets." [FAC, ¶ 12.] For himself, he alleges that Defendant was not authorized to receive and manage his retirement assets. [FAC, ¶ 20.]

For this reason, the court cannot conclude at this point that Plaintiff's causes of action *must* be contract claims or nothing such that his punitive damage claims necessarily fail. Accordingly, the motion to strike punitive damage is denied.

Injunctive Relief

"Injunctive relief is appropriate only when there is a threat of continuing misconduct. (Code Civ. Proc., § 525 ["injunction is a writ or order requiring a person to refrain from a particular act"]; *Gafcon, Inc. v. Ponsor & Associates* (2002) 98 Cal.App.4th 1388, 1403, 120 Cal.Rptr.2d 392, fn. 6 (*Gafcon*).)" *Madrid v. Perot Systems Corp.* (2005) 130 Cal.App.4th 440, 463. "'Injunctive relief has no application to wrongs which have been completed [citation], absent a showing that past violations will probably recur.'" *Id.* at 465 (finding B&P Code §17200 does not permit injunction under broader circumstances then general).

Here, Plaintiff has not alleged ongoing conduct by Defendant. As alleged, Defendant's acts as to Plaintiff are completed. Nor does Plaintiff adequately allege either that others are being subjected to ongoing conduct or that he is bringing claims on behalf of others. [See FAC, ¶¶ 1, 35, 57.]

The motion to strike as to injunctive relief is therefore granted.

Defendant to give notice.